

Procedures for treatment of in-process and delivery non-conforming products

Process 1	Treatment of nonconforming product found in the suppliers' process	Personnel resource	No designation
		Material resource	No designation
INPUT			
The suppliers shall, in the case where nonconformity is detected at the supplier site and where there is a possibility of the nonconforming product being flowed out to the delivery destination, take corrective action based on the results of the outflow investigation of nonconforming products. If there is no possibility of an outflow, the suppliers shall implement the following actions. a) Corrective actions in accordance with procedures established by the suppliers b) Record of corrective actions and retention of records If the suppliers determine upon investigation that there is a possibility that non-conforming product has been delivered to the delivery destination, the suppliers shall implement the following items, but are not limited to the following: c) Immediate contact the delivery destination with information including the follows: - Part name and part number - Place of delivery - Date of delivery and lot number of parts delivered - Details of nonconformity - Instructions for delivery destinations to distinguish nonconforming products - Cause of nonconformity - Details and timing of countermeasures (delivery of replacement products included) - Identification method for conforming products after countermeasure taken d) Consult with Honda regarding treatment of nonconforming products Regardless of the outflow investigation results, the suppliers shall identify nonconforming products by marking, tagging, using different containers, etc., then distinguish them from normal products.			
Process 2	Treatment of nonconforming product found in the delivery destination	Personnel resource	Sorting workers with inspection knowledge
		Material resource	No designation
INPUT			
The suppliers shall, if notified that nonconformity (including suspect products) is found at a delivery destination, consult with the delivery destination and determine actions to take along with the following items, but are not limited to the following: a) Investigate in-process products and stock products (for suspect products) b) Identification of the scope of nonconformity based on the results of investigation (including confirmation of outflow to other locations) c) If possible, outflow is detected, contact the delivery destination concerned and take actions based on clause c) and d) of above process 1 d) Investigate the cause of nonconformity e) Contact delivery destination with following information - Details of measures - Timing of measures (delivery of replacement products included) f) Identification method for conforming products to which measures were taken g) Consult with delivery destination regarding treatment of nonconforming products (including suspect products) h) Identification and quarantine of delivered products based on Honda's instructions i) Sorting of delivered products by workers with inspection knowledge, when required by Honda j) Reassemble and rework nonconforming products based on Honda's instructions when required by Honda			
Process 3	Disposal of nonconforming products	Personnel resource	No designation
		Material resource	No designation
INPUT			
The suppliers shall identify nonconforming products to dispose by a mark, tag, container, etc. and separate from conforming products until the products are disposed. Also, if the suppliers dispose of product returned from a lot out, the suppliers must record the following items in the manufacturing history, but are not limited to the following: a) Reason for disposal b) Date of month c) Quantity Note Honda may possibly dispose delivered the supplier's nonconforming products concerned.			

Process 4	Rework of nonconforming products	Personnel resource	Designated representative
			Workers with inspection knowledge
		Material resource	No designation

INPUT

When conducting rework of nonconforming product, the suppliers shall implement the followings.

- a) Propose rework to Honda and obtain approval (including information on the location of the rework)
- b) If the rework results in a nonconforming product, apply for concession or disposal
- c) Re-inspection of the rework by workers with inspection knowledge
- d) Obtaining approval for rework results at the delivery destination (including cases where rework is performed at the delivery destination)
- e) Attachment of an IPP tag at the time of re-delivery (refer to SQM5.5 "Change Point Control")

However, the supplier shall include in the rework proposal the results of utilizing and verifying a risk analysis (such as FMEA) methodology to assess the risk in the rework process.

When making rework affecting important quality characteristics ㊟, the suppliers shall implement the followings.

- f) Approved by the supplier's quality assurance representative or facility quality representative
- g) 100% inspection of all quality characteristics affected by the rework
- h) Lot identification and historical records

In addition, as a principle, the suppliers must not rework critical parts of lot-out products, except when it is determined that the rework can be corrected.

Process 5	Application for concession of nonconforming products	Personnel resource	No designation
		Material resource	No designation

INPUT

The suppliers may apply for a concession of products if the nonconforming and reworked products do not affect the followings.

- a) Safety
- b) Prevention of environmental pollution
- c) Statutory and regulatory compliance
- d) Impair the function of Honda products

When applying for concession to Honda, the suppliers shall implement the followings.

- e) Submit a "Repair Record [Concession Request]" to Honda that includes follows:
 - Name of the model
 - Part number, part name
 - Total number of parts subject to concession
 - Scheduled date of delivery (enter the date of scheduled delivery using the western calendar)
 - Details of nonconformity resulted in the concession
 - A sketch describing the details of nonconformity
 - Details of the corrective action taken for the nonconformity
- f) Receive the decision result of concession in "Repair Record [Concession Request]" from Honda
- g) Attach "Repair Record [Concession Request]" received from Honda to the initial delivery lot of products
- h) Identification from conforming (usual) products for each release lot

Process 6	Corrective action for delivered nonconforming products	Personnel resource	No designation
		Material resource	No designation

INPUT

When "Rejection Countermeasure Request" or "HTR (Honda Trouble Report)" is issued by Honda, the suppliers shall implement the following items, but are not limited to the following:

- a) Response to " Rejection Countermeasure Request " or "HTR (Honda Trouble Report)" by the due date specified by Honda
- b) If the cause of nonconformity is the sub-supplier, request the sub-supplier to take countermeasures and corrective actions (See SQM6.2 Sub-Supplier Management)
- c) Submission of "Analysis Record [Analysis Report]" if requested by Honda or deemed necessary by the suppliers
- d) If a response cannot be provided by the deadline specified by Honda, the reason for the failure and an interim report on matters identified within the deadline

In addition, the problem-solving methods used in preparing the analysis report shall follow "Procedures for 5 Principals for Problem Solving".

In addition to the above, the suppliers who deliver to the following Honda manufacturing location shall meet the location-specific requirements.

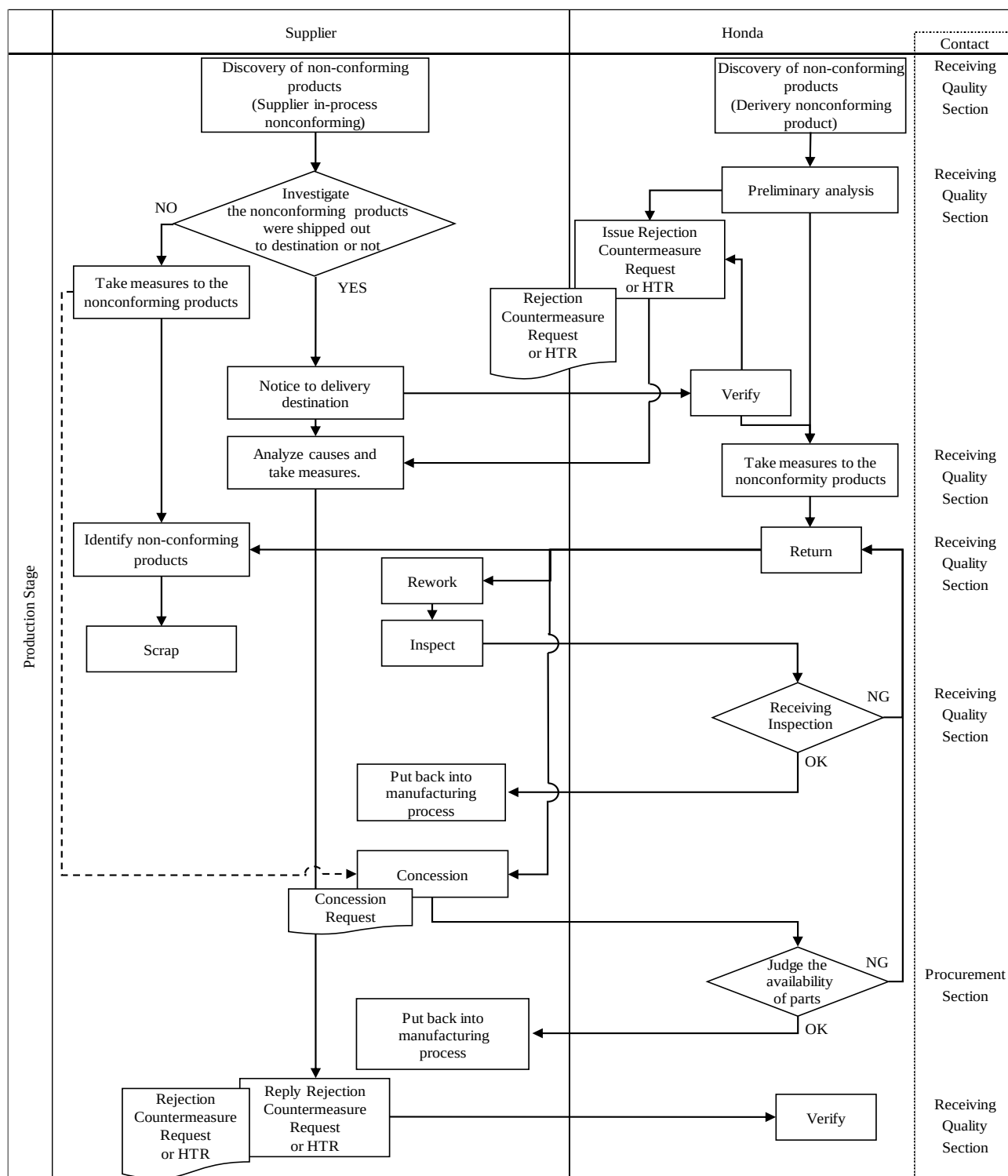
Honda manufacturing location	Location-specific requirements
<u>Dongfeng Honda Automobile Co., Ltd. (WDHAC)</u>	<u>With respect to clause d), if the report of corrective action results cannot be completed within the due date specified in the Rejection Countermeasure Request, an extension of the reporting due date may be requested using the form specified by Honda. (See SQM WDHAC E 部品附则 4.不良对策票及延期)</u> <u>The extension may be granted for a period not to exceed 15 business days per extension request.</u> <u>The suppliers may also apply for up to three extensions.</u>

Process 7	Control after corrective action	Personnel resource	No designation
		Material resource	No designation

INPUT

After corrective action for delivered quality nonconforming product, the supplier shall implement the followings.

- Implement IPP control (Quality improvement IPP) for the initial product to which the corrective action was taken (see SQM 5.5 Change Point Control)
- Prevention of recurrence and preventive actions by feeding back the results of corrective actions to new models and the problem-causing source



Legend : -----▶ In cases when supplier applies for concession.